NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 02.11.2021 AT 10.30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CA(A) merger & Amalgamation /7/230/AMR/2021
NAME OF THE COMPANY	MG Metallic Springs Pvt Ltd (Demerged Co.) & MG Metallic Engineering Solutions Pvt Ltd (Transferee Co.)
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA(A) Merger & Amalgamation 7/230/AMR/2021 is allowed, vide separate ~~sheets~~ order.

(JUSTICE TELAPROLU RAJANI)
MEMBER JUDICIAL

RSN

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
AMARAVATI BENCH
AT HYDERABAD

CA (A) Merger & Amalgamation No.7/230/AMR/2021

In the matter of Section 230 read with Section 232 of the Companies Act, 2013

AND

In the matter of Scheme of Arrangement of between **MG METALLIC SPRINGS PRIVATE LIMITED,** the Demerged Company (having its registered office In Andhra Pradesh) and **MG METALLIC ENGINEERING SOLUTIONS PRIVATE LIMITED**, the Transferee Company (having its registered office in Andhra Pradesh)

MG Metallic Springs Private Limited
having its Registered Office at
D.No.4-3-152, Bellary Road,
Anantapur,
Andhra Pradesh – 515004. ... Applicant/Demerged Company

MG Metallic Engineering Solutions Private Limited
having its Registered Office at
D.No.4-3-152, Bellary Road,
Premises of M.G. Brothers, Anantapur,
Andhra Pradesh – 515004. ... Applicant/Transferee Company

Date of pronouncement of order 02.11.2021

Coram:

Justice Telaprolu Rajani, Hon'ble Member (Judicial)

Parties present:

For the Applicants: Mr. Perikal K. Arjun, Advocate

Per:
Justice Telaprolu Rajani, Hon'ble Member (Judicial)

ORDER

1. The present Company Application filed under Sections 230 read with Section 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 seeking permission to dispense with the meetings of the Equity Shareholders, Secured and Unsecured Creditors of the both the Applicant Companies for consideration of the Scheme of Arrangement (the Scheme for short) between the Applicant Companies.

2. The Registered Office of the Applicant Companies is situated in the State of Andhra Pradesh.

3. The Demerged Company was incorporated as a Private Limited Company on 01.12.1973. The Authorised Share Capital as on 31.03.2021 is Rs.1,00,00,000/- divided into 1,00,000 equity shares of Rs.100/- each. The issued, subscribed and paid up equity share capital is Rs.43,20,000/- divided into 43,200 equity shares of Rs.100/- each. The main objects of the Company are to carry on the business of manufacturing Metallic springs of all varieties, including helical springs, valve springs, leaf springs, tension springs, torsion springs, wire forms, flat springs, spring rings, spring washers required for the industries like aircraft, automobile, railways, stationary engines, etc., communication equipment, electrical, electronics, business machines, precision instruments, watch and clock industries, agricultural machinery, defence industry, textile machinery etc.

4. The Transferee Company was incorporated as a Private Limited Company on 26.03.2021. The Authorised Share Capital as on 31.03.2021 is Rs.10,00,000/- divided into 1,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up equity share capital is Rs.10,000/- divided into 1,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of

manufacturing of assemblers, importers, exporters, repairs, distributors, merchants and dealers of stabilizers, bars and springs of all varieties having application to automobile and allied industries and to carry on the consultancy services related to it.

5. According to the Applicant Companies, the Demerged Company holds the investment in shares of the subsidiary MGM springs Private Limited, engaged in automobile sector as an asset (collectively, the 'Auto-Sector Undertaking'). The Demerged Company also owns land and earns income from leasing out of such land and holds investment in shares of another subsidiary, Stump Schuele Somappa Private Limited (collectively, the 'Remaining Undertaking'). The Demerged Company identifies that the Auto-Sector Undertaking of the Company is growing and can be identified as an independent business. The employees, management, administration, capital and borrowings required for the Auto-Sector Undertaking and Remaining Undertaking being divergent, demerging the entities would enhance value to all stakeholders. The management of Demerged Company is of the further view that with the Auto-Sector undertaking demerged into Transferee Company, management of the Demerged Company can focus on development of remaining assets of the Demerged Company and the Transferee Company will be able to exploit the full and efficient functioning of the Auto Sector Undertaking. Upon transfer and vesting of Auto Sector Undertaking to the Transferee Company, all the assets and liabilities of the Auto-Sector Undertaking will be transferred to the Transferee Company and the Demerged Company will continue to operate the Remaining Undertaking.

6. The Board of Directors of the Transferee Company and Demerged Company in its Board Meeting held on 29.03.2021 and 30.03.2021 respectively have approved the Scheme with appointed date as 01.04.2021, subject to the approval of its shareholders and creditors.

7. No investigation proceedings have been instituted or are pending under the Companies Act, 2013 against the Applicant Company.

8. The **Demerged Company** has filed certificate of the Auditor stating that as on 31.03.2021 there are **9** (nine) equity shareholders together holding 43,200 equity shares of the Demerged Company and they have given their consent by way of affidavits.

9. The **Demerged Company** has filed certificate of the Auditor stating that as on 31.03.2021 there are no Secured Creditors in the Demerged Company.

10. The **Demerged Company** has filed certificate of the Auditor stating that as on 31.03.2021 there are **3** (Three) **Unsecured Creditors** aggregating outstanding value of Rs.68,47,859/- in the Demerged Company.

11. The **Transferee Company** has filed certificate of the Auditor stating that as on 31.03.2021 there are **2** (Two) equity shareholders together holding 1,000 equity shares of the Transferee Company and they have given their consent by way of affidavits.

12. The **Transferee Company** has filed certificate of the Auditor stating that as on 31.03.2021 there are no Secured Creditors and Unsecured Creditors in the Transferee Company.

13. Heard the submissions made in this regard by the Counsel for the Applicant Companies and perused the documents filed.

14. The Equity Shareholders of both the Applicant Companies have given consent affidavits agreeing to the Scheme and hence the meeting of the **Equity Shareholders** of both Applicant Companies is dispensed with, in terms of Section 230(9) of the Act.

15. There are no Secured Creditor in both the Applicant Companies and hence no need to convene the meeting of the **Secured Creditors** of the of both the Applicant Companies.

16. The Unsecured Creditors of both the Applicant Companies have given consent affidavits agreeing to the Scheme and hence the meeting of the **Unsecured Creditors** of both Applicant Companies is dispensed with, in terms of Section 230(9) of the Act.

17. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the applicant company shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Telangana; (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

18. With the above directions, the Company Application i.e. CA(A) Merger & Amalgamation No. 7/230/AMR/2021 is disposed of.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu